India Ratings Affirms Ramkrishna Forgings's Bank Loan Facilities at 'IND AA-'/Stable; Rates Additional Limits

Jun 22, 2026 | Ramkrishna Forgings Limited | Auto Components & Equipments

India Ratings and Research (Ind-Ra) has taken the following rating actions on Ramkrishna Forgings Limited's (RKFL) bank loan facilities:

Details of Instruments

Instrument Type	Date of Issuance	Coupon Rate	Maturity Date	Size of Issue (million)	Rating Assigned with Outlook/Watch	Rating Action
Bank loan facilities	-	-	-	INR3,277.03	IND AA-/Stable/IND A1+	Assigned
Bank loan facilities	-	-	-	INR43,000	IND AA-/Stable/IND A1+	Affirmed

Analytical Approach

Ind-Ra continues to fully consolidate RKFL's wholly-owned subsidiaries — Ramkrishna Castings Solutions Limited (RKCSL; debt rated at 'IND A+'/Stable), Ramkrishna Forgings LLC and Ramkrishna Forgings Mexico S.A. de C.V. — while arriving at the ratings because of the strong operational linkages among them.

Detailed Rationale of the Rating Action

The affirmation reflects RKFL's continued weak credit metrics in FY26, with the adjusted consolidated net leverage (including letter of credit (LC) acceptances) rising to 4.64x, due to its ongoing capex plan and moderation in the EBITDA margins, following a fall in the share of margin-accretive exports in the overall sales mix. Ind-Ra expects the company's consolidated credit metrics to improve year-on-year in FY27; however, remain above Ind-Ra-specified net leverage trigger levels.

The ratings continue to derive comfort from the company's diversified business profile and an improving scale of operations. The management expects the consolidated revenue to increase to around INR50,000 million in FY27. Supported by cash generation and the likely promoter infusion of INR2,028 million through share warrants, and tax refunds of INR2,800 million, the company is likely to reduce debt and improve credit metrics over FY27. The diversified profile will be further supported by incremental contribution from casting and aluminum forgings, along with incremental orders from Indian Railways and other customers in the auto space.

In April 2025, RKFL identified material discrepancies between its book inventory and physical stock in its FY25 annual physical verification, prompting the Audit Committee to commission a joint fact-finding investigation. The investigation found over-statement of inventory in books versus physical stocks at manufacturing plants affecting work-in-progress, raw materials, and scrap, due to erroneous accounting entries, reliance on wrong reports, and non-recording of rejections and process losses across FY24 and FY25.

Inventory over-statement stood at INR502.2 million as on 31 March 2024 and INR2,205.2 million as on 31 March 2025, resulting in a total net adverse impact of around INR2,026 million after tax, equivalent to about 6.73% of the company's net worth. This has adversely impacted the EBITDA margins as well as credit metrics in FY25. The management has assured that the internal controls have been strengthened while the existing issues have been resolved.

List of Key Rating Drivers

Strengths

- Sustained revenue growth in FY26; likely to continue in FY27
- Diversification of business profile
- Reducing customer concentration

Weaknesses

- Weakened margin profile
- Deterioration in credit metrics
- Elongated working capital cycle
- High revenue dependence on cyclical commercial vehicle (CV) sector

Detailed Description of Key Rating Drivers

Sustained Revenue Growth in FY26; Likely to Continue in FY27: RKFL's growth momentum continued in FY25-FY26, with the consolidated revenue increasing 5.1% to INR42,381 million in FY26 (FY25: INR40,341 million; FY24: INR37,045 million), mainly driven by strong domestic volumes following an industry-wide recovery in the domestic medium and heavy commercial vehicle (MHCV) market, a strong order book for domestic and export orders, new product developments, and increasing content per vehicle. Ind-Ra expects the consolidated revenue to grow further to INR48,000 million-50,000 million in FY27, driven by a continued recovery in the domestic CV segment and incremental revenue from Indian Railways, due to new orders for fabrication and assembly of rail bogies.

While the management expects the export momentum to improve over the medium term as evidenced over 4QFY26-1QFY27, Ind-Ra believes that the full recovery in exports could be gradual. The revenue growth will be supported by the ramp-up of the recently commissioned incremental capacities in FY26 such as additional 43,000 metric tonnes (mt) in the press division, 28,800 mt in the casting division for RKFL on a standalone basis, and an additional press line capacity of 18,000mt in RKCSL. This will be further supported by new order wins for domestic and export sales in FY26. The company is also foraying into aluminum forging with 3000 mt of capacity commissioned in 4QFY26, with most of the capacity already tied up.

Diversification of Business Profile: RKFL has been de-risking its business model in the domestic CV segment by diversifying across segments, customers, and geographies. The automotive segment's contribution to the standalone revenue reduced to about 74% in FY26 (FY25: 78%). Consequently, the contribution from the share of the domestic off-road segment (mining, earth moving and farm) to the revenue increased to about 5.9% in FY26 (FY25: 4.8%). The company is also executing several electric vehicle (EV) programmes in North America and Asia and plans to further diversify in the EV segment.

The revenue contribution from the non-auto segment increased to about 26% in FY26 (FY25: 22%; FY24: 23%), and the management expects this to improve to 30% by FY28-FY29. The company is expanding its presence in the railways segment, with the standalone revenue share improving to 7.5% in FY26 (FY25: 4.6%; FY24: 3.6%), driven by its fabrication of rail parts. RKFL has acquired several entities in the past to expand into casting components while also expanding into other industry segments. These acquisitions have enabled the company to diversify its revenue base by adding customers and components and allowing entry into other segments, including passenger vehicles, LCVs, and tractors.

In FY26, the total gross contribution from these subsidiaries to the consolidated revenue increased to INR6,520 million (FY25: INR5,510 million), and the management expects the contribution to reach INR10,000 million in FY27. Furthermore, the company is entering the aluminium forging segment and has increased casting and forging capacities, while also increasing its exposure in the PVs, railways and oil and gas (O&G) segments. The company's exposure to EVs would also increase in the medium term. Ind-Ra believes the company's business profile will improve over the next two-to-three years, supported by further diversification in the revenue base, synergies from the manufacturing capacities and cross-selling opportunities to marquee clientele. The agency will monitor the company's ability to scale up these businesses. The turnaround of these businesses remains a key rating monitorable.

Reducing Customer Concentration: RKFL's largest customer, Tata Motors Limited (TML) has been the major contributor to the revenue historically due to its position as the largest original equipment manufacturer (OEM) in the domestic MHCV sector; however, the contribution has been gradually reducing, on account of the addition of newer customers. The contribution from TML reduced to 33.4% in 9MFY26 (FY18: 39%) of the consolidated revenue. However, the share of TML remained substantial in 9MFY26, due to the recovery in the Indian MHCV sector, coupled with muted exports to North America. Also, Ind-Ra believes RKFL's counterparty risk is low due to its established market position and the criticality of the components manufactured.

Moreover, RKFL has signed long-term contracts with export clients, increasing its revenue visibility. With the onboarding of new customers and industry segments, the agency believes the company's exposure to TML would reduce gradually. RKFL benefits from its preferred supplier status and maintains a high share of business with marquee clients in the domestic and export markets.

Weakened Margin Profile: The consolidated EBITDA margins improved to 15.2% in FY26 (FY25: 13.8%; FY24: 20.9%) but remained lower than the historical levels of over 20%, due to a substantial dip in high-margin exports, following a demand slowdown in the US that was further exacerbated by the export tariffs. The company's EBITDA margins improved to 17.1% in 4QFY26 (3QFY26: 14.9%; 2QFY26: 13.5%), mainly supported by higher volumes following strong domestic demand, an increased value-added product mix, and the higher contribution from Indian Railways and non-auto segments. Ind-Ra would monitor the sustained improvement in the EBITDA margins. In FY25, the company's EBITDA margins had dropped substantially due to inventory overvaluation, which has been rectified. Ind-Ra notes that the company's EBITDA margins improved in 4QFY26. The share of exports in the total standalone revenue mix fell to 32% in FY26 (FY25: 41%; FY24: 42%), leading to reduced overall margins as well as lower overall average realisation per mt. The consolidated margins were also impacted, as newly acquired businesses are operating at lower EBITDA margins/losses compared to standalone operations.

Ind-Ra expects the consolidated EBITDA margins to improve to 16%-17% in FY27, supported by likely revived export demand, the ramp-up of operations in the newly expanded capacities in forging and casting lines and acquired businesses, which should help in a better absorption of fixed costs, along with the company's cost-saving measures. Although the margins are susceptible to any significant increase in input prices, these can be largely passed on to the original equipment manufacturers (OEMs) with a lag of up to three months.

Deterioration in Credit Metrics: RKFL's consolidated net adjusted leverage (net debt including lease liabilities and LC acceptances/EBITDA) stood at 4.6x in FY26 (FY25: 4.7x; FY24: 2x), due to elevated debt levels to fund the capex and acquisitions over FY25-FY26, as well as enhanced working capital needs largely in line with revenue growth. Its net leverage was also impacted by its reduced profitability. The company

incurred capex of INR9,237 million in FY26 against Ind-Ra's earlier expectation of INR3,000 million-3,500 million. The overall debt levels (including lease liabilities and LC acceptances) rose to INR31,438 million in FY26 (FY25: INR26,543 million; FY24: INR17,837 million). RKFL's consolidated interest coverage ratio (operating EBITDA/gross interest expenses) fell to 3.1x in FY26 (FY25: 3.4x; FY24: 5.3x), due to an increase in the interest expenses amid the elevated debt levels.

Ind-Ra expects the net leverage to reduce in FY27, supported by the infusion of warrants worth INR2,027.5 million, an income tax refund of INR1,500 million and a further expected refund of INR1,300 million, along with the amortisation of existing term loans and likely improvement in cash generation in FY27 and onwards amid the improved profitability. The interest coverage ratio is likely to remain above 3.0x in FY27, while the net adjusted leverage is likely to reduce to 3.5x-4x. The leverage is likely to fall below 3.0x only by end-FY28.

Elongated Working Capital Cycle: The consolidated net working capital cycle calculated by Ind-Ra shortened on a yoy basis but remained elongated at 193 days in FY26 (FY25: 214 days; FY24: 191 days), mainly due to shortened receivables and inventory days following lower export sales, which have a longer average collection period, as well as higher transit time. Ind-Ra expects RKFL's net working capital cycle to remain at 180-200 days over the medium term, in line with historical levels, due to the increasing contribution from exports which have a long receivable period and require the company to maintain a substantial amount of inventory due to relatively longer transit/shipping time, though Ind-Ra notes this is largely in line with the industry. Ind-Ra also believes that the current geopolitical conflicts could lead to potential supply chain disruption/ longer transit routes, especially for export-focused companies and hence, working capital requirement could increase. This remains a key rating monitorable.

High Revenue Dependence on Cyclical CV Sector: RKFL derives the majority of its revenue from the MHCV sector. The CV industry depends on various factors such as macro-economic fundamentals, industrial production, fleet utilisation, and freight rates and hence, is prone to cyclicality. Therefore, any slowdown in the demand from the CV industry could affect RKFL's revenue and credit metrics. The company is trying to penetrate the PV segment to shield against the exposure risk from the CV segment and increase its exposure towards Indian Railways, EVs, and the off-highway segments.

Liquidity

Adequate: On a consolidated basis, the average month-end utilisation of the fund-based of INR10,000 million was about 71% for the 12 months ended March 2026 and that of the non-fund-based limits of INR8,500 was 65%. The company's consolidated cash balance stood at INR1,629 million at FYE26 (FYE25: INR235 million; FYE24: INR2291 million). Furthermore, the company's cash flow from operations (Ind-Ra calculated) improved to INR6,503 million in FY26 (FY25: negative INR1,293 million; FY24: INR4,877 million), mainly due to higher EBITDA levels as well as favourable changes in working capital. However, consolidated free cash flow remained negative at INR2,915 million in FY26 (FY25: negative INR11,423 million; FY24: negative INR1,255 million) which resulted in negative free cash flow/revenue ratio due to continued high capex of INR9,237 million (INR9,789 million; INR10,190 million). The company's capex is likely to reduce to INR5,000 million-5,500 million in FY27 and Ind-Ra expects the free cash flow to remain negative; however, it is likely to improve yoy, supported by further ramp-up in the scale and higher profitability.

The company has scheduled debt repayments of INR3,378 million in FY27 and INR3,465 million in FY28. Ind-Ra believes RKFL's debt service coverage ratio (DSCR) will stay comfortable in FY27-FY28. The company received INR2,020 million from share warrants from promoters while INR2,027.5 million is likely to be infused in FY27. The company received INR1,500 million from tax refund and expects further tax refund of INR1,300 million, Ind-Ra believes RKFL's internal cash generation, along with its access to multiple banking channels, would be sufficient to fund its cash outflow going forward in the medium term.

Rating Sensitivities

Positive: A substantial increase in the consolidated revenue, while maintaining the EBITDA per tonne, along with increased revenue diversification, a reduction in the working capital cycle, a positive Ind-Ra-calculated free cash flow /revenue ratio, and a reduction in the consolidated net adjusted leverage to below 2x, all on a sustained basis, would be positive for the ratings.

Negative: A significant decline in the consolidated revenue or profitability, any major debt-funded capex plans or an elongation of the working capital cycle, leading to the consolidated net adjusted leverage remaining above 3x, all on a sustained basis, will be negative for the ratings.

Any Other Information

Standalone Financials: In FY26, RKFL recorded revenue of INR37,549 million (FY25: INR36,343 million; FY24: INR34,993 million) and EBITDA margins of 15.1% (13.5%; 21.2%). The interest coverage was 3.2x in FY26 (FY25: 3.3x; FY24: 5.4x) and the adjusted net leverage (adjusted for lease liabilities, bill discounting and LC acceptances) was 4.2x (4.4x; 1.9x).

About the Company

Incorporated in 1981, RKFL manufactures forged and computer numerical control machined components for the automobile, railways, defence and mining sectors. It manufactures components for transmission and axles including shafts, gear box, crown wheel, pinion, spindles and bearing rings for the auto sector. RKFL has 19 manufacturing facilities in India and has a total standalone installed capacity of 3,40,200 mt, and a consolidated installed capacity of 3,95,800 mt as on 31 March 2026.

Key Financial Indicators

Particulars	FY26	FY25
Revenue from operations (INR million)	42,381	40,341
EBITDA (INR million)	6,427	5,596
EBITDA margin (%)	15.2	13.9
Interest coverage (x)	3.1	3.4
Net leverage (including LC acceptances) (x)	4.5	4.7
Source: RKFL; Ind-Ra		

Status of Non-Cooperation with Previous Rating Agency

Not applicable

Rating History

Instrument Type	Rating Type	Rated Limits (million)	Current Rating/Out	Historical Rating/Outlook				
				18 May 2026	15 April 2025	24 May 2024	29 January 2024	20 April 2023
Bank loan facilities	Long-term/Short-term	INR46,277.03	IND AA-/Stable/IND A1+	IND AA-/Stable/IND A1+	IND AA/Stable/IND A1+	IND AA-/Stable/IND A1+	IND AA-/Stable/IND A1+	IND A+/Stable/IND A1

Bank wise Facilities Details

Complexity Level of the Instruments

Instrument Type	Complexity Indicator
Bank loan facilities	Low

For details on the complexity level of the instruments, please visit https://www.indiaratings.co.in/complexity-indicators.

Annexure

List of instruments and names of regulators of the instruments

As required by SEBI CRA Circular dated Feb 10, 2026, a list of activities or instruments falling under the purview of various FSRs, along with the names of respective FSRs, is being disclosed below:

A. Rating Activity

Sr. No.	Instrument / activity Name	Regulator of the instrument
1	Listed/Proposed to be listed Bonds/Debentures/Preference Shares (all securities)	SEBI
2	Unlisted/Proposed to be unlisted Bonds/Debentures/ Preference share (all securities)	MCA
3	Listed PTCs / Securitisation Notes (originated by entities regulated by RBI)*	SEBI
4	Listed PTCs / Securitisation Notes (originated by entities not regulated by RBI)*	SEBI
5	Unlisted PTCs / Securitisation Notes (originated by entities regulated by RBI)*	RBI
6	Listed Commercial Paper and NCDs with original maturity less than 1 year	RBI
7	Unlisted Commercial Paper and NCDs with original maturity less than 1 year	RBI

Sr. No.	Instrument / activity Name	Regulator of the instrument
8	Loan Facilities (Fund/Non-Fund Based) from Bank / NBFCs/ NHB/ FIs ^	RBI
9	External Commercial Borrowings and other similar borrowings	RBI
10	Certificates of Deposit	RBI
11	Fixed Deposits raised by NBFCs, Banks, HFCs, FIs	RBI
12	Fixed Deposits raised by corporates other than NBFCs, Banks, HFCs, FIs	MCA
13	Inter Corporate Deposits/Loans extended by Corporates	MCA
14	Borrowing programme ~	-
15	Issuer Ratings #	-
16	Credit Ratings for Capital Protection Oriented Schemes (by Mutual Funds and AIFs)	SEBI
17	Credit quality ratings (CQRs) for Mutual Fund Schemes and Schemes of AIFs	SEBI
18	Listed Security Receipts	SEBI
19	Unlisted Security Receipts	RBI
20	Independent Credit Evaluation (ICE)	RBI
21	Expected Loss Ratings (For Loan Facilities [Fund/Non-Fund based] from Banks/NBFCs/NHB/FIs)	RBI
22	Expected Loss Ratings (Listed / Proposed to be listed Bonds / Debentures / Preference Shares (all securities))	SEBI
23	Expected Loss Ratings (Unlisted / Proposed to be unlisted Bonds/ Debentures / Preference Shares (all securities))	MCA

* Includes securitisation transactions involving assignee payout, acquirer's payout.

~ The rated instrument may involve issuance of different instruments such as debt securities (listed or otherwise), bank loans, commercial paper (listed or otherwise), etc. The regulator of the instrument may accordingly be SEBI, RBI or MCA and can only be determined upon issuance. In Press Release(s) subsequent to issuance(s), India Ratings shall separately capture the rated quantum details along with names of respective regulators.

There is no instrument being rated and hence, Regulator of the Instrument is not applicable. The rating scale and definitions are being followed as stipulated in SEBI Master Circular for CRAs.

^ Includes bank facilities such as liquidity facility, second loss facility that are part of securitisation transactions.

B. Other activities:

Sr. No.	Activity Name	Regulator of the activity
1	Monitoring Agency	SEBI
2	Research activities, incidental to rating, such as research for Economy, Industries and Companies @	NA

@ permitted by SEBI vide SEBI Master Circular for CRAs.

Note: *For instruments or activities falling under the purview of regulators other than SEBI, the grievance/dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.*

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APPLICABLE CRITERIA AND POLICIES

Evaluating Corporate Governance
Corporate Rating Methodology
Parent and Subsidiary Rating Linkage
Short-Term Ratings Criteria for Non-Financial Corporates
The Rating Process

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